

Focus on Failures

With poor measure rule performance and a small average rise or decline, it should come as little surprise that rising wedges have failure rates higher than other chart pattern types. Consider [Figure 74.3](#), a 5% failure in a rising wedge. Price that drops by less than 5% before moving significantly higher I call a 5% failure.

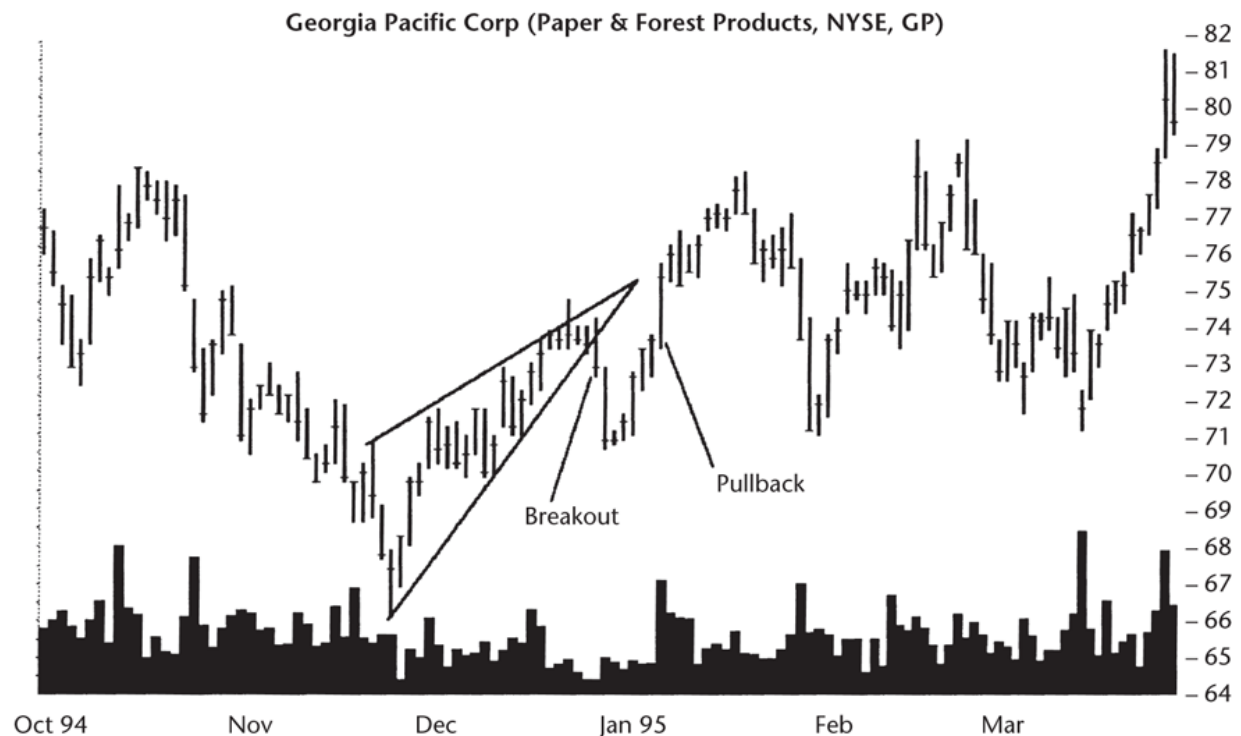


Figure 74.3 An example of a rising wedge 5% failure. Price fails to move down by more than 5% before rebounding.

The wedge forms after a downward price move of nearly 2 months' duration. The wedge appears to be an upward retrace in a short-term downward price trend. That's good for a downward breakout. It means price is likely to drop.

In the wedge, price moves up, touches the top trendline, and then bounces to the bottom. Price crosses from top to bottom as it rises and forms a narrowing price channel, just as we expect to see in a wedge.

Price drops out of the wedge 68% of the way to the apex in this example, right where you would expect it to. Volume is unusual because it trends